

September 14, 2022

Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

Docket No. 22-19, Request for Information.

Dear Chairman Maffei and Commissioners Dye, Sola, Bentzel and Vekich:

BassTech international, a New Jersey-based firm that has operated in the import, export and distribution of chemical products since 1994, appreciates the opportunity to share our views and observations in response to your request for public comment.

In our daily business activities, it is unmistakable that congestion in the international ocean transportation supply system has created a “substantial adverse effect” on the movement of goods as well as on the cost of goods movement. Because of periods of congestion in and around some US port areas, our operations have suffered from delays and inefficiencies and the associated excess costs. These costs include demurrage, detention, storage, chassis usage, increased days sales outstanding, additional inventory and administrative costs and more. The ability for our drayage carrier and warehouse partners to maintain efficient operations is compromised by a failure of timely, accurate, predictable or reliable information from ocean common carrier or terminal operator service providers. Specifically:

Export Load Receiving Windows – A new phenomenon since the onset of congestion in our ports, receiving windows are often extremely short (as little as one business day in some instances) and confirmed only very late in the lead up to cargo acceptance. This means that truckers and warehouses have almost no ability to schedule, in advance of an anticipated receiving window date, a round-trip move (i.e. same-day empty collection, container stuffing, load return). If the export shipment involves multiple containerloads, the possibilities diminish further still. In order to avoid missing a vessel voyage cut-off at the pier, it is often required that the container stuffing activity is a multi-step, multi-day process wherein empty containers are pulled from the pier and/or containers are stuffed at the loading point in advance of cut-off and stored for delivery when the receiving window is finally announced. This results in additional trucking costs, chassis usage fees, storage charges and, potentially, detention fees. Even with optimal operations which, in the face of such a lack of reliable information, necessarily relies on good guesswork and luck, this sort of handling still results in meaningful additional expenses for every order shipped.

Empty Container Return Information – This could be broken into parts such as return locations, return appointment availability and criteria for acceptance of empty (i.e. dual transaction) but the sum total is again an assault on the efficient and productive operations of drayage carriers. Unacceptably late and changing essential information to enable what should be the most simple of transactions – returning empty equipment to its ocean common carrier owner after completion of use in a shipment – into a complex activity that is hampered by endless obstacles. The impact of the disfunction in this process results in operational delays in the movement of materials because of the time expended by truckers and their equipment, including chassis. Understandably, the costs associated with all of the inefficiencies inevitably find their way back to the cargo owners. In some cases, truckers have even declined to service particular shipments out of a desire to avoid the worst carrier/MTO offenders, effectively reducing the possibilities for cargo owners to retrieve their import loads from the piers timely.

When considering the scope of any emergency order, it would be recommended to identify those locations that are not functioning to some stated levels of efficiency in the receiving and delivery of export, import and empty containers. Presently, the Port of NY/NJ is experiencing what could be called a crisis because of congestion and an emergency order would seem appropriate. Other locations, such as Houston, are suffering similarly. While Long Beach and Los Angeles had been in the spotlight previously, natural market swings seem to have somewhat alleviated the intensity of the problems there. However, volume reductions should be no reason to expect that any congestion relief is other than temporary unless there is no expectation that volumes will return. Therefore, a review of those locations that have been serving or are projected to serve volumes of a level where operations become significantly constrained should be within the scope of the program.

Thank you for considering our comments and for your work to assist US businesses that rely on the international ocean transportation supply system.

Sincerely,

A handwritten signature in blue ink, appearing to read 'Lori Fellmer', with a stylized flourish at the end.

Lori Fellmer
Vice President Logistics and Carrier Management
BassTech International